Company registration number 07698872 (England and Wales)

WREXHAM AFC LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2024

WREXHAM AFC LIMITED

COMPANY INFORMATION

Directors	Ms K Allyn	(Appointed 10 February 2025)
	Mr S A Harvey	(Appointed 30 November 2023)
	Mr D H R Ker	
	Mr R McElhenney	
	Mr R R Reynolds	
Company number	07698872	
Registered office	Racecourse Ground Mold Road Wrexham LL11 2AH	
Auditor	Xeinadin Audit Limited St Andrews House Yale Business Village Ellice Way Wrexham LL13 7YL	
Business address	Racecourse Ground Mold Road Wrexham LL11 2AH	

WREXHAM AFC LIMITED

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WREXHAM AFC LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2024

The directors present the strategic report for the year ended 30 June 2024.

Strategy and Objectives
The directors' objectives are declared in the Club's mission statement. A strategic review of the mission statement will be undertaken, following the success to date of the Club, however the principles won't materially change.

The specific emphasis remains the same, to deliver success on the pitch and to take each of the Club's senior teams through their respective divisions at the earliest opportunity by way of investment in each playing squad and the creation of a player pipeline through development training programmes. This objective exists in parallel with the desire to deliver wider benefits to the community of Wrexham and continuing to raise the profile of the City of Wrexham around the World.

A strategic pause was taken on the proposed Kop Development at the Racecourse Ground, to ensure that the plans continued to meet our requirements, following the rapid progress made on the pitch and the demand for tickets. As a result, a revised planning application was successfully made that has the potential to see the capacity of the Kop increased to approximately 7,500. In the interim a temporary stand was installed to ensure that as many fans as possible could watch games live and this was extended further for the start of the 2024/25 season.

The development of training facilities for the Club's senior teams & Academy remains a high priority. The directors approved the investment at Darland High School for the Academy, so Category 3 status under the Elite Player Performance Plan could be achieved that allows for a formal arrangement for the registration of boys between the ages of 9 to 16 years old. A suitable site for the first-team training facility is still to be identified.

Wrexham Holdings LLC, the shareholder of Wrexham AFC Limited now has 3 investors, with Rob & Ryan continuing to be the majority shareholders. The 3 investors are aligned on the principles that have been in place since the takeover in February 2021 and are committed to the positive development of the Club. Further partners would be considered, if they can add value and assist in the delivery of our objectives.

Post 30 June 2024, the Club repaid the monies owed to The R.R. McReynolds Company LLC. This action will help facilitate the raising of funding to meet the costs of the Club's capital projects going forward.

The utilisation of the images of both Rob McElhenney & Ryan Reynolds in conjunction with partners and via Welcome to Wrexham is paramount to delivering increased value from the Club's inventory. A strategic decision was taken to engage both More Better Industries and Maximum Effort, companies connected with Rob & Ryan to maximise these opportunities, as well as overseeing our partnerships that are US based. Payments made to both More Better Industries and Maximum Effort are consistent with those that would be made to other agencies who could offer similar services. These payments are identified in this Report and both companies significantly assisted us to achieve our record turnover. These arrangements will remain in place while we are achieving the best financial outcome for the Club.

The ongoing success of Welcome to Wrexham is vital for maintaining / increasing the Club's profile and as such the Club is making a marketing contribution via Wrexham Holdings LLC to achieve this, the result of which was the significant increase (in part) in turnover in this report.

With commercial growth a key focus, the directors remain committed to ensuring the Club's soul remains firmly rooted in the local community of Wrexham and are investing in our own Foundation to achieve this.

Principal risks and uncertainties
Maintaining the progress of the Club on the pitch remains the priority, as it is that momentum which creates the opportunity for continued growth and as such remains the purpose around which all our other activities are focused. The directors are taking the relevant action to ensure that the long-term sustainability of the Club can be achieved and not anchored purely on playing success or the continuation of the Welcome to Wrexham documentary.

Increasing the capacity at the Racecourse Ground is a fundamental requirement of creating a long-term business plan for the Club along with putting in place a staffing structure of suitably qualified individuals that will enable the maximising of all the opportunities available to us.

Key performance indicators

The 2023/24 season was one that brought success on the pitch for the Men's team who achieved promotion from EFL League 2, having achieved promotion from the National League the season before. The Women's team reached the FAW Cup Final and made the Championship phase of the League finishing a credible third, with the players becoming semi-professional for the first time, an approach quickly followed by our main rivals.

With a return to the EFL, the Club achieved category 4 status under the Elite Player Performance Plan, which allowed the registration of a full-time scholarship cohort.

Following the early announcement that the Welcome to Wrexham documentary would be continued for a third series to cover the events on and off the pitch for the 2023/24 season, this enabled the Club to achieve further commercial growth. The documentary, while not delivering any direct financial return for the Club provides us with a marketing platform that can be monetised through the delivery of TV exposure for our partners and is our 'point of difference'. The 2023/24 season was the first of a new cycle of partnerships building on the success of Series One and Two of the documentary.

As identified in our last Annual Report and Financial Statement, turnover would significantly increase for the year ended 30 June 2024. This is set to continue going forward with Series Four of the documentary confirmed.

Turnover for the year was £26.725m (2023: £10.478m) which we believe to be a record for any Club in League 2. As noted below the popularity of Welcome to Wrexham and the engagement by its viewers are the biggest factors in the 155% growth, followed by the additional revenue generated from the EFL over those received in the National League. The loss was £2.729m (2023: £5.113m), of this loss £0.824m was incurred as a cost of achieving promotion to EFL League 1.

Of the £26.725m turnover, sponsorship revenue increased to £13.181m (2023: £1.883m) while retail revenue increased to £4.455m (2023: £3.430m) and matchday revenue up to £5.020m (2023: £3.124m).

The geographical split of the turnover saw 52.1% (2023: 24.6%) generated from the Rest of the World primarily North America, with the UK 47.5% (2023: 74.8%). The balance comes from Europe.

The average league attendance for the 2023/24 season was 11,229 (2023: 9,975). The capacity of the Racecourse Ground was increased to 12,868 on the 23rd December 2023 from the 10,771 at the start of the season.

The number of employees increased to 255 (2023: 199) and costs rose to £11.044m (2023: £6.910m). The increase in number of employees includes 33 Youth Team and Female players as a result of the changes made to how these players were registered and retained.

On behalf of the board

Mr S A Harvey
Director

21 March 2025

WREXHAM AFC LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2024

The directors present their annual report and financial statements for the year ended 30 June 2024.

Principal activities
The principal activities of Wrexham AFC Limited ('the Club') are the operation of a professional football club, together with related and ancillary activities, including the day-to-day management of the Racecourse Ground.

Results and dividends
The results for the year are set out on page 8.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Ms K Allyn	(Appointed 10 February 2025)
Mr S A Harvey	(Appointed 30 November 2023)
Mr D H R Ker	
Mr R McElhenney	
Mr R R Reynolds	

Disabled persons
Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Employee involvement
The company's policy is to consult and discuss with employees, through unions, staff councils and at meetings, matters likely to affect employees' interests.

Information about matters of concern to employees is given through information bulletins and reports which seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the company's performance.

Auditor
In accordance with the company's articles, a resolution proposing that Xeinadin Audit Limited be reappointed as auditor of the company will be put at a General Meeting.

Statement of directors' responsibilities

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

Medium-sized companies exemption

This report has been prepared in accordance with the provisions applicable to companies entitled to the medium-sized companies exemption.

On behalf of the board

Mr S A Harvey
Director

21 March 2025

WREXHAM AFC LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF WREXHAM AFC LIMITED

Opinion

We have audited the financial statements of Wrexham AFC Limited (the 'company') for the year ended 30 June 2024 which comprise the profit and loss account, the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2024 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter

We draw attention to Note 1.2 in the financial statements, which outlines the directors' assessment of the entity's ability to continue as a going concern. This includes consideration of projected future cash flows and the financial support confirmed by ownership.

Our opinion is not modified in respect of this matter.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

- Enquiry of management and those charged with governance around actual and potential litigation and claims;
- Reviewing minutes of meetings of those charged with governance;
- Performing audit work over the risk of management override of controls, including testing of journal entries and other adjustments for appropriateness, evaluating the business rationale of significant transactions outside the normal course of business and reviewing accounting estimates for bias;
- Enquiry of management and those charged with governance to identify any instances of non-compliance with laws and regulations.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the company is subject to many other laws and regulations where the consequence of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance the imposition of fines or litigation or the loss of the company's license to operate. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non-compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we will be less likely to become aware of instances of non-compliance. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Timothy Mitchell BSc FCA
Senior Statutory Auditor
For and on behalf of Xeinadin Audit Limited

21 March 2025

Chartered Accountants
Statutory Auditor

St Andrews House
Yale Business Village
Ellice Way
Wrexham
LL13 7YL

WREXHAM AFC LIMITED

PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30 JUNE 2024

	Notes	2024 £	2023 £
Turnover	**3**	26,725,465	10,477,780
Cost of sales		(18,774,406)	(10,800,776)
Gross profit/(loss)		7,951,059	(322,996)
Administrative expenses		(10,063,741)	(4,487,576)
Other operating income		88,540	112,049
Operating loss	**4**	(2,024,142)	(4,698,523)
Interest receivable and similar income	**6**	1,021	231
Interest payable and similar expenses	**7**	(706,213)	(414,286)
Loss before taxation		(2,729,334)	(5,112,578)
Tax on loss	**8**	-	-
Loss for the financial year		(2,729,334)	(5,112,578)

The profit and loss account has been prepared on the basis that all operations are continuing operations.

WREXHAM AFC LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2024

	2024 £	2023 £
Loss for the year	(2,729,334)	(5,112,578)
Other comprehensive income	-	-
Total comprehensive income for the year	(2,729,334)	(5,112,578)

WREXHAM AFC LIMITED

BALANCE SHEET

AS AT 30 JUNE 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Fixed assets					
Intangible assets	**9**		1,275,358		1,289,833
Tangible assets	**10**		9,558,299		7,395,000
			10,833,657		8,684,833
Current assets					
Stocks	**11**	547,820		656,737	
Debtors	**12**	5,584,595		690,521	
Cash at bank and in hand		1,085,956		1,401,943	
		7,218,371		2,749,201	
Creditors: amounts falling due within one year	**13**	(12,490,234)		(5,149,147)	
Net current liabilities			(5,271,863)		(2,399,946)
Total assets less current liabilities			5,561,794		6,284,887
Creditors: amounts falling due after more than one year	**14**		(14,224,218)		(12,217,977)
Net liabilities			(8,662,424)		(5,933,090)
Capital and reserves					
Called up share capital	**17**		4,447,484		4,447,484
Profit and loss reserves			(13,109,908)		(10,380,574)
Total equity			(8,662,424)		(5,933,090)

These financial statements have been prepared in accordance with the provisions relating to medium-sized companies.

The financial statements were approved by the board of directors and authorised for issue on 21 March 2025 and are signed on its behalf by:

Mr S A Harvey
Director

Company registration number 07698872 (England and Wales)

WREXHAM AFC LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2024

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2022	4,447,484	(5,267,996)	(820,512)
Year ended 30 June 2023:			
Loss and total comprehensive income	-	(5,112,578)	(5,112,578)
Balance at 30 June 2023	4,447,484	(10,380,574)	(5,933,090)
Year ended 30 June 2024:			
Loss and total comprehensive income	-	(2,729,334)	(2,729,334)
Balance at 30 June 2024	4,447,484	(13,109,908)	(8,662,424)

WREXHAM AFC LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Cash flows from operating activities					
Cash generated from/(absorbed by) operations	25		2,537,833		(157,063)
Interest paid			(706,213)		(414,286)
Net cash inflow/(outflow) from operating activities			1,831,620		(571,349)
Investing activities					
Purchase of intangible assets		(950,829)		(1,027,643)	
Proceeds from disposal of intangibles		-		3,321	
Purchase of tangible fixed assets		(2,898,335)		(3,549,017)	
Proceeds from disposal of tangible fixed assets		5,000		6,237	
Interest received		1,021		231	
Net cash used in investing activities			(3,843,143)		(4,566,871)
Financing activities					
Repayment of borrowings		1,705,104		5,263,789	
Repayment of bank loans		(9,568)		(10,432)	
Net cash generated from financing activities			1,695,536		5,253,357
Net (decrease)/increase in cash and cash equivalents			(315,987)		115,137
Cash and cash equivalents at beginning of year			1,401,943		1,286,806
Cash and cash equivalents at end of year			1,085,956		1,401,943

1 Accounting policies

Company information

Wrexham AFC Limited is a private company limited by shares incorporated in England and Wales. The registered office is Racecourse Ground, Mold Road, Wrexham, LL11 2AH.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1.2 Going concern

At the time of approving the financial statements, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future despite the net liability position. T herefore the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

The directors have assessed the entity's ability to continue as a going concern, considering projected future cash flows and the financial support available from ownership. This assessment includes reviewing forecasts, cash flow projections, and post-year-end developments to ensure that sufficient resources will be available to meet obligations as they fall due.

The directors have received confirmation from the owners that financial support will be provided as necessary for at least 12 months from the date of approval of the financial statements. This assurance, together with the entity's expected cash flows, supports the conclusion that the entity will have adequate resources to continue in operational existence for the foreseeable future.

1 Accounting policies **(Continued)**

1.3 Turnover

Turnover represents all income arising from the activities of the company exclusive of player transfer fees and value added tax.

Matchday Admissions are recognised as revenue when the match has been played. Season ticket revenue is deferred and recognised evenly over the season as matches are played. Hospitality packages are recognised on a match-by-match basis when the service is delivered.

Matchday Commercial Income is recognised at the point of sale. Other matchday-related services are recognised when the service is rendered. Preseason tour income is recognised when the match has been played.

Football Income, prize money and broadcasting revenue from cup competitions are recognised when the club has earned the right to receive the income. Solidarity and training compensation fees are recognised when received or contractually confirmed.

Retail Income is recognised at the point of sale. Online sales are recognised when goods are dispatched to the customer.

Sponsorship revenue is recognised over the duration of the contract unless linked to a specific event, in which case it is recognised when the event occurs. Advertising revenue from stadium signage, programme advertisements, and digital advertising is recognised when the advertisement is displayed.

Stadium and facility hire income is recognised when the event occurs and the service is provided. Non-matchday events such as concerts and corporate functions are recognised when the event takes place. Catering income is recognised at the point of sale.

Youth Department Income. Academy fees and training camps revenue are recognised over the period the service is delivered.

Grants received from football governing bodies for youth development are recognised in accordance with the grant conditions and when receivable.

1.4 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Memorabilia	Amortised evenly over their estimated useful life of 5 years
Website	Amortised evenly over their estimated useful life of 5 years
Trademarks	Amortised evenly over their useful life of 10 years
Player registration	Amortised evenly over the useful life of the individual contracts

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to the profit and loss

1 Accounting policies **(Continued)**

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold land and buildings	2% on cost, land not depreciated
Property improvements	Length of lease or 10% straight line
Assets under construction	Not depreciated
Plant and equipment	20% Straight Line
Fixtures and fittings	20% Straight Line
Computers	33% Straight Line
Motor vehicles	20% Straight line

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.7 Stocks

Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

1.8 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1 Accounting policies **(Continued)**

1.9 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

1 Accounting policies **(Continued)**

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Derivatives, including interest rate swaps and forward foreign exchange contracts, are not basic financial instruments. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. Changes in the fair value of derivatives are recognised in profit or loss in finance costs or finance income as appropriate, unless hedge accounting is applied and the hedge is a cash flow hedge.

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value through profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.10 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1.11 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation in the period are included in profit or loss.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Tangible assets, depreciation and residual values

The Directors have reviewed the estimated useful lives and residual values of all tangible asset classes and have concluded that useful lives and residual values are appropriate.

The useful lives of the tangible assets are reviewed regularly and may vary depending on a number of factors. The review includes consideration of issues such as future market conditions, the remaining life of the asset and potential disposal values.

Intangible assets, amortisation and residual values

The Directors have reviewed the estimated useful lives and residual values of all intangible asset classes and have concluded that useful lives and residual values are appropriate.

The useful lives of the tangible assets are reviewed regularly and may vary depending on a number of factors. The review includes consideration of issues such as player health and fitness. Residual value assessments consider issues such as future market conditions, current league status retention and the remaining life of the asset.

Impairment of non-current assets

The club assesses the impairment of tangible and intangible assets subject to amortisation or depreciation whenever events or changes in circumstances indicate that the carrying value may not be recoverable. Factors considered important that could instigate an impairment review include:

- Significant underperformance relative to historic or projected future operating results, including relegation from the current league
- Significant damage or injury of players
- Significant changes in the matter of the use of the acquired assets or the strategy of the club
- Significant negative industry or economic trends.

3 Turnover and other revenue

	2024	2023
	£	£
Turnover analysed by class of business		
Matchday Admissions	3,807,609	2,839,551
Matchday Commercial	1,212,608	284,287
Football	3,043,845	1,314,220
Retail	4,455,431	3,430,103
Sponsorship and Advertising	13,181,133	1,882,816
Stadium Hire and Catering	810,415	702,321
Youth Department	209,995	4,651
Other	4,429	19,831
	26,725,465	10,477,780

	2024	2023
	£	£
Turnover analysed by geographical market		
United Kingdom	12,686,352	7,841,049
Europe	108,345	55,105
Rest of World	13,930,768	2,581,626
	26,725,465	10,477,780

	2024	2023
	£	£
Other revenue		
Interest income	1,021	231

The geographical market of retail sales is judged to be the delivery location of the customer.

4 Operating loss

Operating loss for the year is stated after charging/(crediting):	2024 £	2023 £
Exchange (gains)/losses	(125,541)	25,545
Fees payable to the company's auditor for the audit of the company's financial statements	17,000	12,000
Depreciation of owned tangible fixed assets	730,036	526,342
(Profit)/loss on disposal of tangible fixed assets	-	16,477
Amortisation of intangible assets	965,156	651,006
Loss on disposal of intangible assets	148	-

5 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2024 Number	2023 Number
Football Players	37	36
Football Management	15	14
Administrative Staff	50	30
Matchday Staff	120	119
Womens Team	20	-
Youth Team	13	-
Total	255	199

	2024 £	2023 £
Wages and salaries	9,858,062	6,058,020
Social security costs	1,105,984	724,083
Pension costs	79,563	127,664
	11,043,609	6,909,767

6 Interest receivable and similar income

	2024 £	2023 £
Interest income		
Interest on bank deposits	1,021	231

	2024 £	2023 £
Investment income includes the following:		
Interest on financial assets not measured at fair value through profit or loss	1,021	231

7 Interest payable and similar expenses

	2024 £	2023 £
Interest on financial liabilities measured at amortised cost:		
Interest on bank overdrafts and loans	1,109	497
Other finance costs:		
Other interest	705,104	413,789
	706,213	414,286

8 Taxation

The actual charge for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2024	2023
	£	£
Loss before taxation	(2,729,334)	(5,112,578)
Expected tax credit based on the standard rate of corporation tax in the UK of 25.00% (2023: 20.50%)	(682,334)	(1,047,868)
Tax effect of expenses that are not deductible in determining taxable profit	16,076	37,926
Unutilised tax losses carried forward	1,066,379	1,117,566
Permanent capital allowances in excess of depreciation	182,509	111,256
Depreciation on assets not qualifying for tax allowances	(582,630)	(218,880)
Taxation charge for the year	-	-

9 Intangible fixed assets

	Memorabilia	Website	Trademarks	Player registration	Total
	£	£	£	£	£
Cost					
At 1 July 2023	-	26,765	340	2,209,319	2,236,424
Additions - internally developed	19,296	-	-	-	19,296
Additions - separately acquired	-	-	-	931,533	931,533
Disposals	-	-	-	(1,782)	(1,782)
At 30 June 2024	19,296	26,765	340	3,139,070	3,185,471
Amortisation and impairment					
At 1 July 2023	-	22,706	340	923,545	946,591
Amortisation charged for the year	-	1,353	-	963,803	965,156
Disposals	-	-	-	(1,634)	(1,634)
At 30 June 2024	-	24,059	340	1,885,714	1,910,113
Carrying amount					
At 30 June 2024	19,296	2,706	-	1,253,356	1,275,358
At 30 June 2023	-	4,059	-	1,285,774	1,289,833

10 Tangible fixed assets

	Freehold land and buildings	Property improvements	Assets under construction	Plant and equipment	Fixtures and fittings	Computers	Motor vehicles	Total
	£	£	£	£	£	£	£	£
Cost								
At 1 July 2023	2,115,250	3,478,907	2,397,174	127,944	164,941	187,976	24,160	8,496,352
Additions	-	1,919,270	659,153	130,972	34,487	125,963	28,490	2,898,335
Disposals	-	-	-	(5,000)	-	-	-	(5,000)
At 30 June 2024	2,115,250	5,398,177	3,056,327	253,916	199,428	313,939	52,650	11,389,687
Depreciation and impairment								
At 1 July 2023	-	822,098	-	73,586	70,247	133,810	1,611	1,101,352
Depreciation charged in the year	-	604,815	-	27,313	30,991	60,186	6,731	730,036
At 30 June 2024	-	1,426,913	-	100,899	101,238	193,996	8,342	1,831,388
Carrying amount								
At 30 June 2024	2,115,250	3,971,264	3,056,327	153,017	98,190	119,943	44,308	9,558,299
At 30 June 2023	2,115,250	2,656,809	2,397,174	54,358	94,694	54,166	22,549	7,395,000

11 Stocks

	2024	2023
	£	£
Finished goods and goods for resale	547,820	656,737

12 Debtors

	2024	2023
Amounts falling due within one year:	£	£
Trade debtors	4,034,699	157,958
Other debtors	232,889	296,571
Prepayments and accrued income	1,317,007	235,992
	5,584,595	690,521

13 Creditors: amounts falling due within one year

	Notes	2024	2023
		£	£
Bank loans	15	10,364	9,879
Other borrowings	15	416,667	-
Trade creditors		2,733,662	1,883,164
Taxation and social security		725,811	445,478
Deferred grant income	16	75,060	75,060
Other creditors		30,115	29,476
Accruals and deferred income		8,498,555	2,706,090
		12,490,234	5,149,147

Included in deferred grant income falling due within one year is a non-repayable deferred capital grant totalling £75,060 (2023: £75,060) which will be released over the life of the related asset, this is secured by a fixed charge on the leasehold property.

Other borrowings falling due within one year is a related party loan. Further detail is provided in note 23.

14 Creditors: amounts falling due after more than one year

	Notes	2024	2023
		£	£
Bank loans and overdrafts	15	11,303	21,356
Other borrowings	15	10,265,905	8,977,468
Deferred grant income	16	3,932,173	3,196,244
Other creditors		14,837	22,909
		14,224,218	12,217,977

14 Creditors: amounts falling due after more than one year **(Continued)**

Included in deferred grant income falling due after more than one year is a non-repayable deferred capital grant totalling £106,335 (2023: £181,395) which will be released over the life of the related asset, this is secured by a fixed charge on the leasehold property.

Included in deferred grant income falling due after more than one year is an unsecured non-repayable deferred capital grant totalling £3,825,838 (2023: £3,014,849) which will be released over the life of the related asset.

Other borrowings falling due after more than one year is a related party loan. Further detail is provided in note 23.

Amounts included above which fall due after five years are as follows:

Payable by instalments	-	583,334

15 Loans and overdrafts

	2024	2023
	£	£
Bank loans	21,667	31,235
Loans from related parties	10,682,572	8,977,468
	10,704,239	9,008,703
Payable within one year	427,031	9,879
Payable after one year	10,277,208	8,998,824

Subsequent events related to the issue of additional borrowings are disclosed in note 22.

16 Deferred income

	2024	2023
	£	£
Deferred grant income	4,007,233	3,271,304
Included in the financial statements as follows:		
Current liabilities	75,060	75,060
Non-current liabilities	3,932,173	3,196,244
	4,007,233	3,271,304

Deferred income is included in the financial statements as follows:

	2024	2023
	£	£
Deferred income is included within:		
Current liabilities	5,005,365	1,982,223

16 Deferred income **(Continued)**

	5,005,365	1,982,223
Movements in the year:		
Deferred income at 1 July 2023	1,982,223	1,443,481
Released from previous periods	(1,982,223)	(1,443,481)
Resources deferred in the year	5,005,365	1,982,223
Deferred income at 30 June 2024	5,005,365	1,982,223

17 Share capital

	2024	2023	2024	2023
Ordinary share capital	**Number**	**Number**	**£**	**£**
Issued and fully paid				
Ordinary of £1 each	4,447,484	4,447,484	4,447,484	4,447,484

Subsequent events related to the issue of additional share capital are disclosed in Note 22.

18 Pension commitments

Wrexham Association Football Club ('the Club') participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2023 where the total deficit on the on-going valuation basis was £20.554 million. The key assumptions used to calculate the deficit at the 31 August 2023 actuarial valuation are:

Discount Rate Gilt Yield Curve + 0.5% per annum
RPI inflation: Bank of England Inflation Curve
Pension Increases: Fixed 3.0% per annum for benefits accrued prior to 6 April 1997, and modelled using the RPI inflation assumption with a cap of 5.0% per annum and a floor of 3.0% per annum for benefits accrued after 6 April 1997.
Mortality (pre-retirement): None
Mortality (post-retirement): SAPS (Series 3) with CMI_2022 projections, a long-term improvement rate of 1.5% p.a. and an initial additional parameter of 0.5% p.a.

The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The results of the 2023 valuation were rolled forward to 30 June 2024 on the same assumptions as detailed above, and the Club's notional share of the deficit was £32,191 (£29,866 as at 30 June 2023).

As at 30 June 2024, the Club was paying total contributions of £678 per month, increasing to £721 per month from 1 September 2024 (increasing by 5% p.a. on 1 September each year thereafter) and based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 30 November 2028.

As at 30 June 2024, based on an appropriate discount rate of 4.96% per annum (6.39% per annum as at 30 June 2023), the present value of the Club's outstanding contributions (i.e. their future liability) is £37,014 (£30,701 as at 30 June 2023). This amounts to £8,566 (30 June 2023: £8,075) due within one year and £28,448 (30 June 2023: £22,626) due after more than one year and is included within other payables.

18 Pension commitments **(Continued)**

Present Value of Defined Benefit Obligation

	2024	2023
	£	£
Present Value of Defined Benefit Obligation	37,014	30,701

Reconciliation of Defined Benefit Obligation

	2024	2023
	£	£
Defined Benefit Obligation at start of year	30,701	39,052
Net Interest Charge (Unwinding of discount rate)	1,705	1,178
Club contribution (deficit contribution)	(8,075)	(7,690)
Remeasurement (changes in assumptions)	503	(1,839)
Remeasurement (changes to contribution schedule)	12,180	-
Defined Benefit Obligation at end of year	37,014	30,701

Income and Expenditure Impact

	2024	2023
	£	£
Net Interest Charge (Unwinding of discount rate)	1,705	1,178
Remeasurement (changes in assumptions)	503	(1,839)
Remeasurement (changes to contribution schedule)	12,180	-

Assumptions

	2024	2023
Discount Rate (based on AA Corporate Bond Yields of appropriate currency/duration)	4.96%	6.39%

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2020), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club leave the Scheme, they may be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

19 Financial commitments, guarantees and contingent liabilities

The terms of the agreements entered into with other football clubs for the transfer of players' registrations provide for the payment of additional sums should Wrexham AFC gain promotion to the EFL Championship at the end of the 2024 /25 season, totalling £875,000 (2023: £207,500 promotion to EFL League One). In addition the provisions of certain players' contracts and bonus scheme also contain promotion related payments. For 2024 the liability is £1,449,545 (2023: £509,710).

In the year, the Club has obtained insurance coverage to mitigate potential liabilities arising from promotional activities. This insurance policy provides coverage up to an amount of £850,000.

Further bonuses should the Club gain promotion to the Premier League may be payable, however there is uncertainty over the remoteness and timing of these liabilities.

20 Operating lease commitments

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2024	2023
	£	£
Within one year	27,100	28,786
Between two and five years	63,479	75,579
In over five years	227,500	242,500
	318,079	346,865

21 Capital commitments

Amounts contracted for but not provided in the financial statements:

	2024	2023
	£	£
Acquisition of tangible fixed assets	2,498,538	568,476

22 Events after the reporting date

On 26 July 2024, the company entered into a loan agreement with The R.R. McReynolds Company LLC for an amount of £2,000,000. The loan has a 3% interest rate above the Bank of England base rate and a repayment term of 30 June 2026. This transaction took place after the end of the reporting period and is disclosed as a non-adjusting event in accordance with Section 32 of FRS 102.

On 20 September 2024, the company entered into an operating lease agreement for two building units at Darland School. The lease commitment is for £17,893 per month over a term of 60 months. This agreement does not impact the financial position as at 30 June 2024 but is disclosed for information.

On 17 October 2024, the company issued one Ordinary share, raising £11,328,322 in equity. This event occurred after the end of the reporting period and is disclosed as a non-adjusting event in accordance with Section 32 of FRS 102.

On 18 October 2024, the company entered into a loan agreement with The R.R. McReynolds Company LLC for an amount of £3,500,000. The loan has a 3% interest rate above the Bank of England base rate and a repayment term of 30 June 2026. This transaction took place after the end of the reporting period and is disclosed as a non-adjusting event in accordance with Section 32 of FRS 102.

The company has fully settled all outstanding loans owed to The R.R. McReynolds Company LLC. The final payments were made on and up to 22 January 2025, and as of that date, the company no longer has any outstanding related party loan balances. This is a non-adjusting event as it relates to circumstances arising after the reporting period and does not provide further evidence of conditions that existed at the balance sheet date.

On 1 January 2025, the company issued one Ordinary share, raising £3,039,003 in equity. This event occurred after the end of the reporting period and is disclosed as a non-adjusting event in accordance with Section 32 of FRS 102.

On 28 February 2025, the company issued one Ordinary share, raising £14,297,725 in equity. This event occurred after the end of the reporting period and is disclosed as a non-adjusting event in accordance with Section 32 of FRS 102.

23 Related party transactions

Remuneration of key management personnel
The remuneration of key management personnel is as follows.

	2024	2023
	£	£
Aggregate compensation	1,200,496	773,399

The remuneration of Key Management Personnel reflects the group of employees that have direct influence on the day to day operation and strategic influence within the Club.

Loans due to related parties	2024 £	2023 £
Entities with control, joint control or significant influence over the company	10,682,572	8,977,468

23 Related party transactions **(Continued)**

The above balance attracts interest at 3% over the Bank of England base rate. The interest charged in the period amounts to £705,104 (2023: £413,789), which is included in the above balance.

Other information

The reciprocal agreements between Robert McElhenney & Ryan Reynolds individually and via The R.R. McReynolds Company, LLC with the Club, to utilise images / personal characteristics and IP, remain in place.

The following are deemed to be a related party by virtue of being under common control of a director, unless stated otherwise:

The Club received income of £184,669 from Betty Buzz LLC, at the year end date. £88,595 has also been recognised within deferred income, which at the year end remained outstanding. No income was received from this entity in the year to 30 June 2023. This entity is deemed to be a related party by virtue of being under control of a close family member of a director.

The Club received income of £60,000 from Brown, Brown and Brown (Four Walls) LLC. A further amount of £60,000 has been recognised within deferred income, at the year end date £75,000 remained outstanding. No income was received from this entity in the year to 30 June 2023.

The Club received income of £1,109,607 from Maximum Effort Marketing LLC, at the year end date £NIL remained outstanding. No income was received from this entity in the year to 30 June 2023.

The Club received income of £25,971 from Maximum Effort Productions LLC, at the year end date £NIL remained outstanding. No income was received from this entity in the year to 30 June 2023.

The Club incurred expenditure of £1,881,992 from Maximum Effort Advisory LLC, at the year end date £1,655,380 remained outstanding. No expenditure was incurred with this entity in the year to 30 June 2023.

The Club incurred expenditure of £245,582 from MNTN LLC, at the year end date £NIL remained outstanding. No expenditure was incurred with this entity in the year to 30 June 2023.

The Club incurred expenditure of £1,242,873 from More Better Industries LLC, at the year end date £717,107 remained outstanding. No expenditure was incurred with this entity in the year to 30 June 2023.

The payments to Maximum Effort Advisory LLC, MNTN LLC and More Better Industries LLC, were in respect of commissions payable at market rates on the introduction of sponsorship arrangements, consultancy services linked to the delivery of inventory committed to sponsors and reimbursement of monies paid on behalf of the Club.

The Club incurred expenditure of £2,428,571 from Wrexham Holdings LLC, at the year end date £1,283,594 remained outstanding. This covered promotional activities for the Club linked to Welcome to Wrexham. No expenditure was incurred with this entity in the year to 30 June 2023. This entity is deemed to be a related party by virtue of having significant control over the Club.

The Club incurred expenditure of £131,972 from Wantaway Limited in respect of consultancy services and reimbursement of monies paid on behalf of the Club, at the year end date £NIL remained outstanding.

The Club incurred expenditure of £38,271 from The Albion Football Club (Burton-on-Trent) Limited in relation to payments for players and reimbursement of other costs incurred, at the year end date £2,418 remained outstanding. £39,344 was incurred with this entity in the year to 30 June 2023. This entity is deemed to be a related party by virtue of being under control of a close family member of a person of significant influence over the Club.

24 Ultimate controlling party

As at 30 June 2024, 100% of the share capital in Wrexham AFC Limited was held by Wrexham Holdings LLC, a company incorporated in the United States. Wrexham Holdings LLC is registered at C/O Corporation Service Company, 251 Little Falls Drive, Wilmington, Delaware, United States, 19808.

As at 30 June 2024, 95% of Wrexham Holdings LLC is owned by The R.R. McReynolds Company LLC, so Robert McElhenney and Ryan Reynolds remain the ultimate controlling parties of Wrexham AFC Limited.

Post year end update

Wrexham AFC Limited remains wholly owned by Wrexham Holdings LLC.

The R.R. McReynolds Company, LLC, owns the majority of the shares in Wrexham Holdings LLC and is owned equally by Rob McElhenney & Ryan Reynolds and as such, they remain jointly the ultimate beneficial owners of the majority of Wrexham AFC Limited.

Red Dragon Ventures, LLC, a company formed pursuant to the Delaware Limited Liability Company Act in the USA, owns more than 10% of the shares in Wrexham Holdings LLC and as such, a significant interest in Wrexham AFC Limited.

Red Dragon Ventures, LLC, is owned by Wrexham Scope LLC and The R.R. McReynolds Company, LLC.

Wrexham Scope LLC is owned by the Allyn Family.

25 Cash generated from/(absorbed by) operations

	2024	2023
	£	£
Loss for the year after tax	(2,729,334)	(5,112,578)
Adjustments for:		
Finance costs	706,213	414,286
Investment income	(1,021)	(231)
(Gain)/loss on disposal of tangible fixed assets	-	16,477
Loss on disposal of intangible assets	148	-
Amortisation and impairment of intangible assets	965,156	651,006
Depreciation and impairment of tangible fixed assets	730,036	526,342
Movements in working capital:		
Decrease/(increase) in stocks	108,917	(451,324)
Increase in debtors	(4,894,074)	(245,969)
Increase in creditors	3,802,893	656,225
Increase in deferred income	3,848,899	3,388,703
Cash generated from/(absorbed by) operations	2,537,833	(157,063)

26 Analysis of changes in net debt

	1 July 2023	Cash flows	30 June 2024
	£	£	£
Cash at bank and in hand	1,401,943	(315,987)	1,085,956
Borrowings excluding overdrafts	(9,008,703)	(1,695,536)	(10,704,239)
	(7,606,760)	(2,011,523)	(9,618,283)

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